Type MS · Spotting the concept behind an accounting treatment

Answer 1 of 21 · Question 14 part e · 3 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 3 · find part e in this mark scheme extract

14(a)	**Award marks as indicated.** Checks the arithmetical accuracy of the double entry **(1)** Facilitates preparation of the financial statements/Prevents errors appearing in the financial statements **(1)** **Accept any other appropriate responses.**	**(2)**

Question number	Answer	Mark
14(b)(i)	**Award marks as indicated.** An error of commission occurs when an entry for the correct amount is posted to an incorrect account of the same class **(1)** whereas an error of principle occurs when an entry for the correct amount is posted to an incorrect account of the wrong class **(1)**	**(2)**

Question number	Answer	Mark
14(b)(ii)	**Award marks as indicated.** An error of original entry occurs when an entry for an correct amount is entered in a book of prime entry **(1)** whereas an error of omission occurs when a transaction is not posted at all/omitted **(1)**	**(2)**

Type MS · Spotting the concept behind an accounting treatment

Answer 1 of 21 · Question 14 part e · 3 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 3 · find part e in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>14(c)</td><td>Award marks as indicated.
<table>
<tr><th rowspan="2">Account</th><th colspan="2">Trial balance</th></tr>
<tr><th>Debit
$</th><th>Credit
$</th></tr>
<tr><td>Carriage inwards</td><td>✓ (1)</td><td></td></tr>
<tr><td>Carriage outwards</td><td>✓ (1)</td><td></td></tr>
<tr><td>Returns inwards</td><td>✓ (1)</td><td></td></tr>
<tr><td>Returns outwards</td><td></td><td>✓ (1)</td></tr>
</table></td><td>(4)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>14(d)</td><td>Award marks as indicated.
<table>
<tr><th></th><th>Principle of professional ethics</th></tr>
<tr><td>Accountants must operate in a straightforward and honest manner.</td><td>Integrity/Honesty (1)</td></tr>
<tr><td>Accountants must be free from bias or conflict of interest.</td><td>Objectivity (1)</td></tr>
</table></td><td>(2)</td></tr>
</table>

Type MS · Spotting the concept behind an accounting treatment

Answer 1 of 21 · Question 14 part e · 3 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 3 · find part e in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>14(e)</td><td>Award marks as indicated.
<table>
<tr><th>Scenario</th><th>Accounting concept</th></tr>
<tr><td>A trader uses the same method of depreciation each year.</td><td>Consistency (1)</td></tr>
<tr><td>A trader makes an adjustment in the financial accounts for amounts paid in advance.</td><td>Accruals/Matching (1)</td></tr>
<tr><td>A trader records the purchase of an item of stationery as a business expense.</td><td>Materiality (1)</td></tr>
</table></td><td>(3)</td></tr>
</table>

TOTAL FOR QUESTION 14 = 15 MARKS

Type MS · Spotting the concept behind an accounting treatment

Answer 2 of 21 · Question 17 part b · 2 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 2 · find part b in this mark scheme extract

17(a) **Award marks as indicated.**

Account	Debit $	Credit $
Bank overdraft		1 830 **(1)**
Carriage inwards	710 **(1)**	
Carriage outwards	1 220	
Discount allowed	420 **(1)**	
Discount received		300
Drawings	6 200 **(1)**	
Equity		16 600
General expenses	5 950	
Inventory	5 350	
Irrecoverable debts	250 **(1)**	
Non-current assets – accumulated depreciation		5 900
Non-current assets - cost	15 050	
Purchases	34 280	
Rent and rates	3 650	
Returns inwards	530 **(1)**	
Returns outwards		980
Revenue		65 570
Trade payables		3 510 **(1)**
Trade receivables	2 180 **(1)**	
Wages	18 900	
Total	94 690	94 690
	(1of) for both	

(9)

Type MS · Spotting the concept behind an accounting treatment

Answer 2 of 21 · Question 17 part b · 2 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 2 · find part b in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(b)</td><td>Award marks as indicated

<table>
<tr><th>Scenario</th><th>Accounting concept</th></tr>
<tr><td>A computer purchased for her personal use should be charged to drawings.</td><td>Business entity (1)</td></tr>
<tr><td>The purchase of a new calculator for $40 should not be charged to non-current assets.</td><td>Materiality (1)</td></tr>
</table></td><td>(2)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(c)</td><td>Award marks as indicated

<table>
<tr><th>Item</th><th>Expense</th><th>Income</th><th>Current Asset</th><th>Current Liability</th></tr>
<tr><td>Irrecoverable debts</td><td>✓(1)</td><td></td><td></td><td></td></tr>
<tr><td>Provision for irrecoverable debts</td><td></td><td></td><td>✓(1)</td><td></td></tr>
<tr><td>Provision for irrecoverable debts - decrease</td><td></td><td>✓(1)</td><td></td><td></td></tr>
<tr><td>Provision for irrecoverable debts - increase</td><td>✓(1)</td><td></td><td></td><td></td></tr>
</table></td><td>(4)</td></tr>
</table>

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Spotting the concept behind an accounting treatment

Answer 3 of 21 · Question 14 part c · 2 marks

2019 JUN · Paper 01 · extract 1 of 3 · find part c in this mark scheme extract

14 (a)	**Award 1 mark for each reason up to a maximum of 2 marks.** To monitor and control the expenses **(1).** To keep the main cash book free from small expenses **(1).** To train junior employees **(1).** To record small transactions **(1).** To reduce the workload of the main cashier **(1).**	**(2)**

Type MS · Spotting the concept behind an accounting treatment

Answer 3 of 21 · Question 14 part c · 2 marks

2019 JUN · Paper 01 · extract 2 of 3 · find part c in this mark scheme extract

Question number	Answer	Mark
14(b)	**Award 1 mark for each row with correct amount and voucher in the correct column.** **Award 1 mark for all correct details and dates.**	(11)

Petty Cash Book

Receipts $	Date 2019	Details	Voucher number	Payments $	Cleaning $	Postage $	Refreshments $	Travel $	Ledger Accounts $
150.00 **(1)**	1 Jan	Balance b/d							
	2 Jan	Postage stamps	101	11.50		11.50 **(1)**			
	8 Jan	Sales manager	102	22.50				22.50 **(1)**	
	15 Jan	John	103	35.00					35.00 **(1)**
	22 Jan	Coffee, tea and sugar	104	17.75			17.75 **(1)**		
	26 Jan	Postage stamps	105	8.50		8.50 **(1)**			
	31 Jan	Cleaner's wages	106	15.00	15.00 **(1)**				
				110.25	15.00	20.00	17.75	22.50	35.00 **(1of)**
110.25 **(1 of)**	31 Jan	Cash book/bank							
	31 Jan	Balance c/d		150.00					
260.25				260.25					
150.00 **(1)**	1 Feb	Balance b/d							

Type MS · Spotting the concept behind an accounting treatment

Answer 3 of 21 · Question 14 part c · 2 marks

2019 JUN · Paper 01 · extract 3 of 3 · find part c in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>14(c)</td><td>Award marks as indicated.

<table><tr><th>Accounting concept</th></tr><tr><td>Business entity (1)</td></tr><tr><td>Materiality (1)</td></tr></table></td><td>(2)</td></tr>
</table>

TOTAL FOR QUESTION 14 = 15 MARKS

Type MS · Spotting the concept behind an accounting treatment

Answer 4 of 21 · Question 4 part whole · 1 mark

2020 JAN · Paper 01 · find part whole in this mark scheme extract

4	**D** Prudence	**(1)**

Type MS · Spotting the concept behind an accounting treatment

Answer 5 of 21 · Question 2 part whole · 1 mark

2020 NOV · Paper 01 (regional R) · find part whole in this mark scheme extract

	balances	(1)
2	**The only correct answer is D - Money measurement** A is not correct because Business entity does not apply B is not correct because Consistency does not apply C is not correct because Materiality does not apply	**(1)**

Type MS · Spotting the concept behind an accounting treatment

Answer 6 of 21 · Question 3 part whole · 1 mark

2020 NOV · Paper 01 (regional R) · find part whole in this mark scheme extract

3	**The only correct answer is B - Consistency** A is not correct because Accruals does not apply C is not correct because Materiality does not apply D is not correct because Prudence does not apply	**(1)**

Type MS · Spotting the concept behind an accounting treatment

Answer 7 of 21 · Question 5 part whole · 1 mark

2021 JUN · Paper 01 · extract 1 of 2 · find part whole in this mark scheme extract

5	**The only correct answer is C Materiality** A is not correct because accruals is not relevant in this case B is not correct because business entity is not relevant in this case D is not correct because prudence is not relevant in this case	**(1)**

Type MS · Spotting the concept behind an accounting treatment

Answer 7 of 21 · Question 5 part whole · 1 mark

2021 JUN · Paper 01 · extract 2 of 2 · find part whole in this mark scheme extract



Type MS · Spotting the concept behind an accounting treatment

Answer 8 of 21 · Question 4 part whole · 1 mark

2023 JAN · Paper 01 · find part whole in this mark scheme extract

4	**D Prudence**	**(1)**

Type MS · Spotting the concept behind an accounting treatment

Answer 9 of 21 · Question 17 part b · 3 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 2 · find part b in this mark scheme extract

17(a) **Award marks for correct dates, details and amounts in combination.**

Cash Book

Date 2023	Details	Discount $	Cash $	Bank $	Date 2023	Details	Discount $	Cash $	Bank $
Mar 1	Balance b/d		150	2 720	Mar 8	CPD	17 **(1)**		992 **(1)**
23	Barnaby	95 **(1)**		1 805 **(1)**	19	Window cleaner		22 **(1)**	
25	Sales		385 **(1)**		21	Tom			310 **(1)**
31	Cash			225 **(1)**	31	Bank		225 **(1)**	
					31	Balance c/d		288	3448
		95	535	4 750			17	535	4 750
April 1	Balance b/d		288	3 448 **(1of for both)**					

(10)

Type MS · Spotting the concept behind an accounting treatment

Answer 9 of 21 · Question 17 part b · 3 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 2 · find part b in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(b)</td><td>Award marks as indicated.

<table><tr><th>Scenario</th><th>Accounting concept</th></tr><tr><td>A customer's debt is written off as irrecoverable</td><td>Accruals /Prudence (1)</td></tr><tr><td>The business uses the same method of depreciation each year</td><td>Consistency (1)</td></tr><tr><td>The business will continue for the foreseeable future.</td><td>Going concern (1)</td></tr></table></td><td>(3)</td></tr>
</table>

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(c)(i)</td><td>Award mark as indicated.

Income statement (1)</td><td>(1)</td></tr>
</table>

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(c)(ii)</td><td>Award mark as indicated.

Statement of financial position (1)</td><td>(1)</td></tr>
</table>

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Spotting the concept behind an accounting treatment

Answer 10 of 21 · Question 17 part a.ii · 1 mark

2023 JUN · Paper 01 · extract 1 of 2 · find part a.ii in this mark scheme extract

Number		
17(a)(i)	**Award marks for correct dates, details and amounts in combination.** **Stationery Account** **Date** / **Details** / **$** / **Date** / **Details** / **$** 1 May / Balance b/d / 250 **(1)** / 17 May / Cash book /Bank / 15 **(1)** 10 May / Cash book /Bank / 80 **(1)** / 29 Aug / Journal/ Drawings / 25 **(1)** 30 April / Income statement / 100 **(2/1of)** Balance c/d / 190 330 / 330 1 May / Balance b/d / 190 **(1)**	**(7)**

Question Number	Answer	Mark
17(a)(ii)	**Award 1 mark for the correct concept** To comply with the business entity concept **(1)**	**(1)**

Type MS · Spotting the concept behind an accounting treatment

Answer 10 of 21 · Question 17 part a.ii · 1 mark

2023 JUN · Paper 01 · extract 2 of 2 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
17(b)(i)	**Award marks for correct dates, details and amounts in combination.**	**(5)**

Insurance Account

Date	Details	$	Date	Details	$
1 May	Balance b/d	360 **(1)**	30 April	Income statement	2 010 **(2/1of)**
1 July	Cash book /Bank	1 980 **(1)**		Balance c/d	330
		2 340			2 340
1 May	Balance b/d	330 **(1)**			

Question Number	Answer	Mark
17(b)(ii)	**Award 1 mark for the correct concept and 1 mark for explanation** **Sample answer** **Accounting concept:** Accruals **(1)** **Explanation:** Only expenditure incurred during the year should be matched with the income for that year. **(1)** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Spotting the concept behind an accounting treatment

Answer 11 of 21 · Question 10 part whole · 1 mark

2023 NOV · Paper 01 · extract 1 of 2 · find part whole in this mark scheme extract

10	**C Consistency**	**(1)**

TOTAL FOR QUESTIONS 1-10 = 10 MARKS

Type MS · Spotting the concept behind an accounting treatment

Answer 11 of 21 · Question 10 part whole · 1 mark

2023 NOV · Paper 01 · extract 2 of 2 · find part whole in this mark scheme extract

Question Number	Answer	Mark

Type MS · Spotting the concept behind an accounting treatment

Answer 12 of 21 · Question 9 part whole · 1 mark

2025 NOV · Paper 01 · find part whole in this mark scheme extract

9	**D Money measurement**	**(1)**

Type MS · Spotting the concept behind an accounting treatment

Answer 13 of 21 · Question 16 part b · 2 marks

2019 JUN · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

16(a)	**Award up to 2 marks for the correct difference.** Capital expenditure generates benefit for longer than one year **(1)** whereas revenue expenditure generates benefit for shorter than one year **(1)**. **OR** Capital expenditure is shown in the statement of financial position **(1)** whereas revenue expenditure is shown in the income statement **(1)**.	**(2)**

Question number	Answer	Mark
16(b)	**Award 1 mark for each concept up to maximum of 2 marks.** Accruals/matching **(1).** Consistency **(1)**. Prudence **(1)**.	**(2)**

Question number	Answer	Mark
16(c)	**Award 1 mark as indicated up to a maximum of 3 marks.** Wear and tear **(1)** Obsolescence **(1)** Passage of time **(1)** Depletion **(1)**	**(3)**

Type MS · Spotting the concept behind an accounting treatment

Answer 13 of 21 · Question 16 part b · 2 marks

2019 JUN · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

Question number	Answer	Mark
16(d)	**Award 1 mark for correct amount.** **Award 1 mark for all correct dates and details.** **Provision for Depreciation - Motor Vehicles Account**	(4)

Date	Details	$	Date	Details	$
1 January 2019	Disposal	10 000 **(1)**	1 April 2018	Balance b/d	20 000
31 March 2019	Balance c/d	18 000	31 March 2019	Income statement	8 000 **(1 of)**
		28 000			28 000
			1 April 2019	Balance b/d	18 000 **(1 of)**

Question number	Answer	Mark
16(e)	**Award 1 mark for correct amount.** **Award 1 mark for all correct dates and details.** **Disposal Account**	(4)

Date	Details	$	Date	Details	$
1 January 2019	Motor vehicle	50 000 **(1)**	1 January 2019	Provision for depreciation	10 000 **(1)**
				Cash book-(Bank)	35 500
			31 March 2019	Income statement	4 500 **(1 of)**
		50 000			50 000

TOTAL FOR QUESTION 16 = 15 MARKS

Type MS · Spotting the concept behind an accounting treatment

Answer 14 of 21 · Question 18 part c · 1 mark

2021 JUN · Paper 01 · extract 1 of 2 · find part c in this mark scheme extract

18(a)	**Award marks as indicated.** Capital expenditure is the purchase or improvement of non-current assets **(1)** whereas revenue expenditure is the day-to-day running costs of the business **(1)** The benefit from capital expenditure is expected to last for more than one year **(1)** whereas the benefit from revenue expenditure is expected to last for less than one year **(1).** **Accept any other appropriate responses.**	**(4)**

Question Number	Answer	Mark
18(b)	**Award marks as indicated. (Maximum 2 marks).** Wear and tear Obsolescence Economic factors Time factor Usage Technological change	**(2)**

Question Number	Answer	Mark
18(c)	**Award 1 mark as indicated** Accruals **(1)** or Prudence **(1)** or Consistency **(1)**	**(1)**

Question Number	Answer	Mark
18(d) (i)	**Award marks as indicated** $30 720 **(2) or** $38 400 **(1)**	**(2)**

Type MS · Spotting the concept behind an accounting treatment

Answer 14 of 21 · Question 18 part c · 1 mark

2021 JUN · Paper 01 · extract 2 of 2 · find part c in this mark scheme extract

Question Number	Answer	Mark
18(d)(ii)	**Award 1 mark for each figure as indicated.** **Award 1 mark for all correct dates and details.**	**(6)**

Motor Vehicle Disposal Account

Date	Details	$	Date	Details	$
Dec 1 2020	Motor vehicle	48 000 **(1)**	Dec 1 2020	Provision for depreciation	17 280 **(1of)**
				Cash book/ bank	14 000 **(1)**
				Bilal	14 000 **(1)**
			Jan 31 2021	Income statement	2 720 **(1of)**
		48 000			48 000

TOTAL FOR QUESTION 18= 15 MARKS

Type MS · Spotting the concept behind an accounting treatment

Answer 15 of 21 · Question 13 part c · 1 mark

2025 JUN · Paper 01 (regional R) · find part c in this mark scheme extract

13 (a)	**Award marks as indicated** Straight line **(1)** Reducing balance **/** Diminishing balance **(1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
13 (b)	**Award marks as indicated up to max 2 marks** Wear and tear / Usage **(1)** Passage of time **(1)** Obsolescence / Technological change / Economic factors **(1)** Depletion **(1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
13 (c)	**Award mark as indicated** Matching/accruals **(1)** **OR** Consistency **(1)** **OR** Prudence **(1)**	**(1)**

TOTAL FOR QUESTION 13 = 5 MARKS

Type MS · Spotting the concept behind an accounting treatment

Answer 16 of 21 · Question 17 part b · 2 marks

2020 NOV · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
17 (a)	**Award marks as indicated.** **Account** / **Debit** / **Credit** Trade receivables control / ✓ **(1)** Irrecoverable debts / ✓ **(1)**	**(2)**

Question Number	Answer	Mark
17 (b)	**Award marks as indicated.** Prudence **(1)** Accruals or matching **(1)**	**(2)**

Type MS · Spotting the concept behind an accounting treatment

Answer 16 of 21 · Question 17 part b · 2 marks

2020 NOV · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
17 (c)	**Award marks as indicated.** **$** Net trade receivables 42 140 **(1)** X 5% Provision at 29 February 2020 2 107 **(1of)**	**(2)**

Question Number	Answer	Mark
17 (d)	**Award 1 mark for figures plus 1 mark for correct dates and details.** **Provision for Irrecoverable Debts Account**	**(4)**

Date	Details	$	Date	Details	$
2020 Feb 29	Balance c/d	2 107	2019 Mar 1	Balance b/d	1 845 **(1)**
			2020 Feb 29	Income statement	262 **(1of)**
		2 107			2 107
			Mar 1	Balance b/d	2 107 **(1of)**

Question Number	Answer	Mark
17 (e)	**Award up to 4 marks for comments related to the reasons why it is necessary for a business to create a provision for irrecoverable debts and 1 mark for conclusion.** **For example** A business should create a provision because some amounts owing will not be received **(1)**. The effect of this will be to overstate profit for the year and trade receivables in the financial statements **(1).** This enables a business to make informed decisions **(1)** by anticipating possible future losses as soon as they become aware of them **(1).** Overall, the business will benefit from the introduction of this provision **(1).** **Accept any other appropriate responses.**	**(5)**

Type MS · Spotting the concept behind an accounting treatment

Answer 17 of 21 · Question 13 part a · 1 mark

2022 JUN · Paper 01 · extract 1 of 2 · find part a in this mark scheme extract

13 (a)	**Award mark as indicated.** Prudence / accruals / matching **(1).**	**(1)**

Question number	Answer	Mark
13 (b)	**Award marks as indicated.** An irrecoverable debt is an amount owing to a business that will not be paid by a credit customer **(1)** whereas a provision for irrecoverable debts is an estimate of the amount which a business will lose in a financial year due to irrecoverable debts **(1).** **Accept any other appropriate responses.**	**(2)**

Type MS · Spotting the concept behind an accounting treatment

Answer 17 of 21 · Question 13 part a · 1 mark

2022 JUN · Paper 01 · extract 2 of 2 · find part a in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>13 (c)</td><td>Award marks as indicated.
<table>
<tr><th rowspan="2"></th><th colspan="2">Income statement</th><th colspan="2">Statement of financial position</th></tr>
<tr><th>Income</th><th>Expenses</th><th>Current assets</th><th>Current liabilities</th></tr>
<tr><td>Decrease in provision for irrecoverable debts</td><td>✓ (1)</td><td></td><td></td><td></td></tr>
<tr><td>Balance of provision for irrecoverable debts account</td><td></td><td></td><td>✓ (1)</td><td></td></tr>
</table></td><td>(2)</td></tr>
</table>

TOTAL FOR QUESTION 13 = 5 MARKS

Type MS · Spotting the concept behind an accounting treatment

Answer 18 of 21 · Question 18 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 2 · find part a in this mark scheme extract

Number		
18(a)	**Award mark as indicated.** Prudence **(1)**	**(1)**

Question Number	Answer	Mark
18(b)	**Award one mark for each identification of a method and one mark for development. Max 4 marks** • Asif could offer his trade receivables a **cash discount (1)** if they pay their accounts within a specified period **(1).** • Asif could ensure that regular **monthly statements** are sent to his trade receivables **(1)** which should remind them to pay the amount due **(1)**. • Asif could charge **interest** on late payment of accounts **(1)** which would encourage customers to settle their accounts to avoid the charge **(1).**	**(4)**

Question Number	Answer	Mark
18(c)	**Award marks for correct dates, details and amounts in combination.** **Provision for Irrecoverable Debts Account**	**(3)**

Date	Details	$	Date	Details	$
Dec 31	Balance c/d	560	Jan 1	Balance b/d	480 **(1)**
			Dec 31	Income statement	80 **(1)**
		560			560
			Jan 1	Balance b/d	560 **(1)**

Type MS · Spotting the concept behind an accounting treatment

Answer 18 of 21 · Question 18 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 2 · find part a in this mark scheme extract

Question Number	Answer	Mark
18(d)	**Award one mark for identification and one mark for development.** **Sample answer** His profit for the year would **increase (1)** as the trade receivables have **decreased** so the provision would also **decrease (1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
18(e)	**Award up to two marks for an advantage and up to two marks for a disadvantage. Award one mark for overall advice.** **Sample answer** If Asif starts selling goods for cash only, he may lose some customers **(1)** resulting in a decrease in the profit for the year **(1)** However, he will not incur any irrecoverable debts and there will be no need to maintain an allowance for irrecoverable debts **(1)** which will improve his profitability. **(1)** I believe he should proceed with his proposal and start selling goods for cash only. **(1)** **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Spotting the concept behind an accounting treatment

Answer 19 of 21 · Question 9 part whole · 1 mark

2023 NOV · Paper 01 · find part whole in this mark scheme extract

9	A Accruals	(1)

Type MS · Spotting the concept behind an accounting treatment

Answer 20 of 21 · Question 2 part a · 3 marks

2019 JUN · Paper 02 · extract 1 of 4 · find part a in this mark scheme extract

2(a)	**Award marks as indicated.** **Scenario** / **Accounting concept** Adjusting expenses for other receivables — Accruals **(1)** Creating an allowance for doubtful debts — Prudence **(1)** Recording goods taken for personal use — Business entity **(1)**	**(3)**

Question number	Answer	Mark
2(b)(i)	**Award mark as indicated** Profitability is the ability to generate profits from the activities of the business **(1).**	**(1)**

Question number	Answer	Mark
2(b)(ii)	**Award mark as indicated** Liquidity is the ability of a business to pay off its liabilities **(1).**	**(1)**

Question number	Answer	Mark

Type MS · Spotting the concept behind an accounting treatment

Answer 20 of 21 · Question 2 part a · 3 marks

2019 JUN · Paper 02 · extract 2 of 4 · find part a in this mark scheme extract

2(c)	**Award up to 2 marks for comments on profitability and up to 2 marks for comments on liquidity and 1 mark for overall evaluation.** **Sample answer** Gross profit margin has improved indicating charging higher selling price in relation to lower/constant purchase price or cost of sales **(1)**. Profit for the year as a percentage of revenue has also improved due to better gross profit margin **(1)**. Current (working capital) ratio has improved which indicates that the business was able to pay off its short-term liabilities in both years **(1)**. Liquid (acid test) ratio has improved, which indicates that the business can pay off its short-term liabilities without having to sell inventory **(1)**. Overall profitability and liquidity of the business has improved **(1)**	**(5)**

Type MS · Spotting the concept behind an accounting treatment

Answer 20 of 21 · Question 2 part a · 3 marks

2019 JUN · Paper 02 · extract 3 of 4 · find part a in this mark scheme extract

Question number	Indicative content	Mark
2(e)	• Partners must share the profits/losses, so they must prepare the appropriation accounts to show the share of profit/loss. • Being partners, they may be entitled to interest on capital, drawings and interest on drawings, salaries etc so they must prepare the current account to show what business owes to them and what they owe to business. • Being partners the drawings and profit share is not adjusted to the capital account so they must show the capital and current account separately in the statement of financial position. The indicative content is not exhaustive; other creditworthy material should be awarded marks as appropriate.	(6)

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1 - 2	Some understanding of the accounting principles demonstrated but explanation has not been developed adequately.
Level 2	3 - 4	Good understanding of the accounting principles demonstrated with a developed explanation but with limited evidence to support response.
Level 3	5 - 6	Excellent understanding of the accounting principles demonstrated with a well-developed explanation with sufficient evidence to fully support response.

Type MS · Spotting the concept behind an accounting treatment

Answer 20 of 21 · Question 2 part a · 3 marks

2019 JUN · Paper 02 · extract 4 of 4 · find part a in this mark scheme extract

Question number	Answer	Mark
2(f)	**Award up to 2 marks for identification, 2 marks for development and 1 mark for conclusion.** **Sample answers** A sole trader may have limited finance/capital/resources to expand the business **(1)**, but a new partner brings in additional finance/capital/resources available to expand the business **(1)**. A sole trader may find it hard to cope with the demands of the increased business **(1)**, but a new partner will bring in additional skills/knowledge/ideas/ and share workload **(1)**. If a sole trader forms a partnership, he will lose control as all the decision are to be made collectively **(1)**, whereas at present he makes all the decisions **(1)**. If a sole trader forms a partnership, he must share the profits with the other partner **(1)**, whereas at present he takes all the profits **(1)**. Any supported decision **(1)**.	**(5)**

(TOTAL FOR QUESTION 2 = 25 marks)

Type MS · Spotting the concept behind an accounting treatment

Answer 21 of 21 · Question 1 part e · 2 marks

2020 JAN · Paper 02 · extract 1 of 2 · find part e in this mark scheme extract

1(a)	**Award marks as indicated.** $68 400 **(3) W** **W** $109 100 **(1)**-$40 700 **(1)** = $68 400 **(1of)**	**(3)**

Question number	Answer	Mark
1(b)	**Award marks as indicated.** **Award one mark for all correct labels.**	**(6)**

Mia
Income statement for the year ended 31 December 2019

	$	$	
Revenue		210 000	**(1)**
Cost of sales			
Opening inventory	20 000		
Purchases	155 000		**(1)**
Goods for own use	(3 000)		**(1)**
Closing inventory	(25 000)		
		(147 000)	**(1)**
Gross profit		63 000	**(1of)**

Question number	Answer	Mark
1(c)	**Award marks as indicated.** **Award one mark for all correct labels.**	**(5)**

Mia
Statement of financial Position at 31 December 2019

	$	
Equity		
Equity at 1 January	68 400	
Additional equity	10 000	**(1)**
Profit for the year	21 000	**(1)**
Drawings	(18 150)	**(1)**
Total equity	81 250	**(1of)**

Type MS · Spotting the concept behind an accounting treatment

Answer 21 of 21 · Question 1 part e · 2 marks

2020 JAN · Paper 02 · extract 2 of 2 · find part e in this mark scheme extract

Question number	Answer	Mark
1(d)	**Award 1 mark for each correct answer up to a maximum of 2 marks.** Physical deterioration/ wear and tear/usage/rust/erosion/rot and decay **(1)** Economic reasons/obsolescence **(1)** Passage of time/time factor **(1)** Depletion **(1)**	**(2)**

Question number	Answer	Mark
1(e)	**Award 1 mark for each correct answer up to a maximum of 2 marks.** Accruals **(1)** Prudence **(1)** Consistency **(1)**	**(2)**

Question number	Answer	Mark
1(f) (i)	**Award 1 mark for each correct answer.**	**(2)**

Ratio	Formula
current (working capital)	Current assets / Current liabilities **(1)**
liquid (acid test)	Current assets – inventory / Current liabilities **(1)**

Question number	Answer	Mark
1(f) (ii)	**Award 1 mark for a general statement regarding the change in liquidity over the year. Further 3 marks for discussion on both ratios and the final 1 mark for a conclusion.** **Sample answer:** The liquidity of the business has declined **(1)** over the year which is evidenced by the reduction in both ratios. The current ratio indicates that the business can pay its short-term debts **(1).** However, the acid test ratio indicates that the business will struggle to pay its short-term debts from its liquid assets **(1)** which is due to the business holding too much inventory **(1)**. In order to improve liquidity, the business needs to convert inventory into cash quicker to improve the bank balance **(1)**.	**(5)**

(Total for Question 1 = 25 marks)